

Cholamandalam Investment & Finance Company Ltd | Financials | FY 2024-03

CHOLAFIN | Nifty 100 Investment Tearsheet

19,163

Revenue (Rs Cr)

3,420

Net Profit (Rs Cr)

28.1

Operating Margin (%)

16.0

Return on Equity (%)

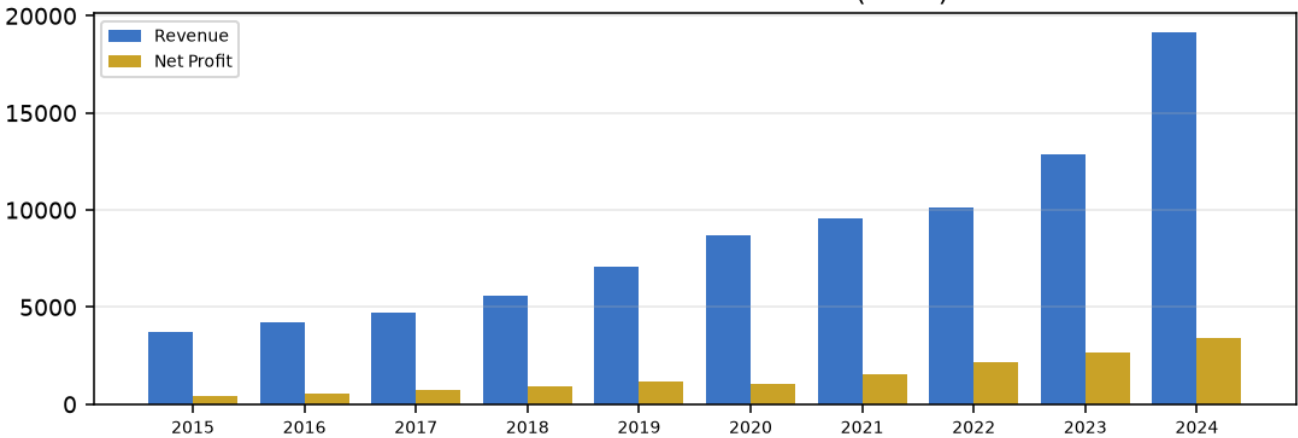
3.1

Return on Capital (%)

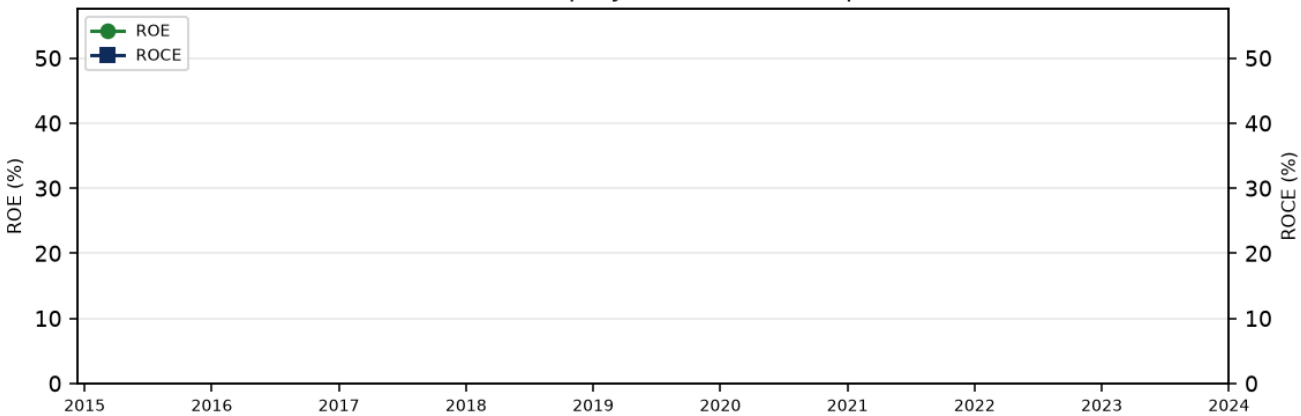
7.38

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)



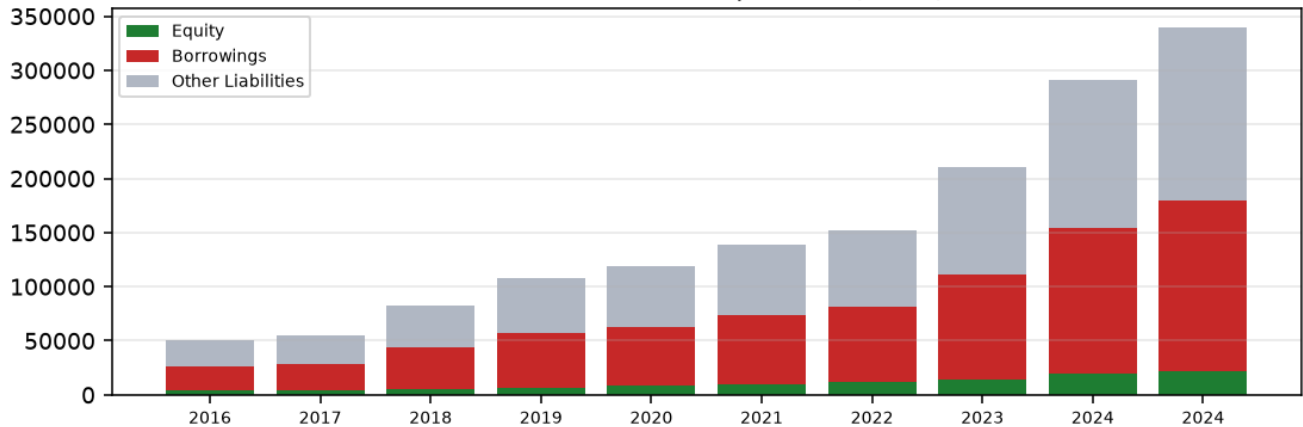
Return on Equity vs Return on Capital



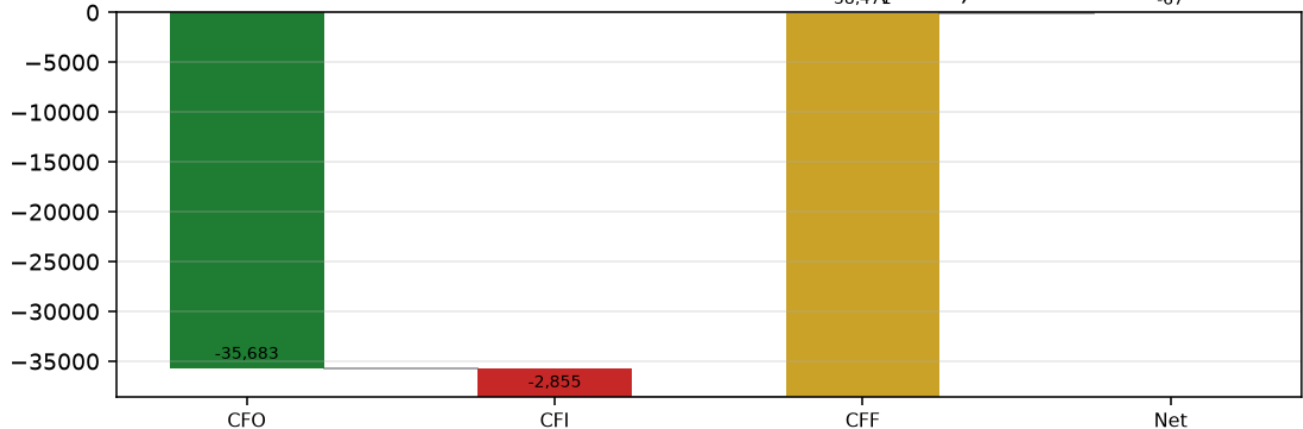
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Balance Sheet Composition (Rs Cr)



Latest-Year Cash Flow Waterfall (Rs Cr)



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 152156 cr exceeding 3 times EBITDA (27.14x) limits financial flexibility

Capital Allocation: Growth Funded by Debt